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Industry stresses DB surplus release decisions must be scheme specific

Firms say low dependency should not trigger automatic release of surplus funds as lawyers raise concerns over age restrictions



Alex Levy

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Government proposals to enable defined benefit (DB) schemes to share surplus with employers and members should treat the low-dependency funding basis as a threshold, rather than a trigger for automatic release, said industry players.

The government is seeking industry views on how an estimated £160bn of DB scheme surplus should be treated, following primary legislation in the Pension Schemes Act 2026 which would allow funds to be shared between sponsoring employers and members.

Funding test a minimum, not a trigger

Pensions UK said the proposed low-dependency funding test is an appropriate statutory minimum but meeting it shouldn't automatically mean surplus is released.

The trade body also said trustees should be able to set scheme-specific buffers where justified by covenant, investment risk, maturity, liquidity and endgame plans. This echoes [Independent Governance Group's response](#), which cited a survey showing that two thirds (67%) of DB corporate decision-makers favour retaining a buffer above the legal minimum before surplus is used or distributed.

The Association of British Insurers (ABI) was particularly cautious, saying proposed reforms bring risk as well as opportunity, and must be accompanied with strong safeguards, governance and management of conflicts of interest.

ABI long-term savings policy adviser Robyn Smith said: "Current proposals allow trustees to access surplus funds once a scheme reaches 'low dependency', but greater clarity is needed on what this means in practice. A clear, measurable definition of 'low dependency', paired with an additional buffer to protect against unexpected events, should underpin the entire framework."

Trustees retain discretion

[In a previous consultation response](#), the Association of Member-Nominated Trustees said the regulations as currently drafted risk encouraging surplus to be released, rather than as a "discretionary power" trustees can use if they choose to do so.

Hymans Robertson agreed with lawyers from Sackers, [who said proposals were "procedural"](#), addressing the technical provisions behind surplus release without consideration for the circumstances in which it should be released.

Hymans head of DB actuarial consulting Laura McLaren said the proposals "answer how surplus can be released, but not whether it should be released in the first place", emphasising that forthcoming guidance from The Pensions Regulator (TPR) should give trustees confidence to make decisions on surplus.

Brightwell stressed the need for regulations to avoid prescribing how schemes use surplus once released. Chief executive Morten Nilsson said: "How surplus is used will be highly scheme specific and it's important that the regulations and guidance recognise this and avoid setting expectations."

Pensions UK said its members were clear that the regime should set minimum statutory conditions rather than dictating how trustees and employers use surplus in practice. Still, the trade body said that surplus release might encourage more schemes to run-on, possibly supporting greater investment in productive assets consistent with the government's growth agenda.

Reduce administrative burden

Industry players also raised concerns about the administrative burden of the government's proposals, including payments timelines. Pensions UK said the proposed requirement that payments be made five days after actuarial certification "should be replaced with a longer and more flexible timetable", [echoing feedback from the Association of Consulting Actuaries \(ACA\), Society of Pension Professionals \(SPP\) and LCP](#).

Providers, consultancies and trade bodies particularly flagged the member communications burden arising for schemes that opt for regular release of surplus rather than a one-off lump sum. Pensions UK said the framework should support phased approaches to surplus release rather than encouraging larger one-off payments.

Hymans' McLaren said: "Where trustees and employers have agreed a sensible programme of payments, member communications should be proportionate and build on existing channels. The process should enable good decisions, not create unnecessary governance hurdles."

Nilsson said that creating an operable framework means "avoiding unnecessary administrative burdens around repeated notifications and approvals and enabling trustees to implement long-term surplus release plans that can flex as circumstances change".

Payments to members

At the autumn budget 2025, the government confirmed that tax legislation would be amended to treat surplus payments from ongoing DB schemes as authorised. As part of this, payments cannot generally be made until the "normal minimum pension age" (NMPA), which lawyers have said "causes real concern".

Although surplus lump sums could be awarded to members below NMPA, payment must be deferred until they reach that age, adding to schemes' administrative burden.

Sackers partner Lucy Dunbar said: "We are concerned that the current age constraints could hinder the uptake of authorised member surplus payments in practice.

"The risk is that schemes considering sharing surplus with members may ultimately find it easier to provide increases to existing benefits for those yet to reach NMPA, as permitted under the current legislative and regulatory framework."

Hogan Lovells Cadwalader pensions partner Katie Banks said the age restriction "causes real concern" and adds complexity, with lawyers unclear if insurers will be willing to buy-out these benefits or factor them into pension sharing and CETV calculations.

"The deferred lump sums for younger members might create a burden for schemes. These will be a new type of benefit payable in different circumstances to existing benefits requiring an update to administration systems. If younger members received multiple lump sums, they will need to be recorded and revalued separately," Banks continued.

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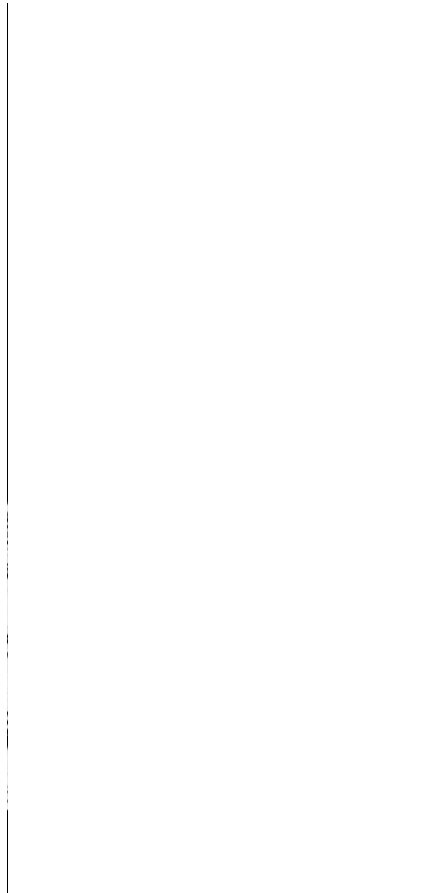
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